

FEDERAL MARITIME COMMISSION
Office of the Administrative Law Judges

AGRIBUSINESS HOLDINGS LIMITED PARTNERSHIP D/B/A
BRIDGEWELL AGRIBUSINESS, LLC, *Claimant*

v.

HAPAG-LLOYD AG AND HAPAG-LLOYD AMERICA, LLC AS
AGENT OF HAPAG-LLOYD AG, *Respondents*.

DOCKET NO. 2023(I)

Served: May 13, 2025

BEFORE: Theresa DIKE, *Small Claims Officer*.

ORDER APPROVING SETTLEMENT AND DISMISSING PROCEEDING

On December 19, 2024, the Secretary of the Federal Maritime Commission issued a Notice of Filing of Small Claims Complaint and Assignment (“Notice”), stating that Claimant Agribusiness Holdings Limited Partnership d/b/a Bridgewell Agribusiness, LLC (“Bridgewell”) had filed an informal complaint against Respondent Hapag-Lloyd America, Inc. (“HL America”). On January 13, 2025, Respondent requested and was granted a 45-day extension of time to file its response to the Claim. On January 27, 2025, Bridgewell filed an Amended Small Claims Complaint “for the purpose of naming the proper Respondent identified by its counsel for this matter.” Email from Bridgewell counsel dated January 27, 2025. The amended claim named as respondents, Hapag-Lloyd AG (“HLAG”) and HL America, as agent of HLAG. Bridgewell alleges that Respondents violated 46 U.S.C. § 41104(a)-(d), based on their alleged failure to issue invoices for certain assessed detention and demurrage (“D&D”) charges, while still demanding that Bridgewell remit D&D payments to ensure the release of its cargo.

On January 31, 2025, the Secretary issued a notice of the filing of the Amended Small Claims Complaint, noting that HLAG and HL America were required to file a response by February 28, 2025, together with an indication as to whether they consented to the use of the informal procedures. On February 24, 2025, the parties jointly requested, and were granted an extension of time until March 20, 2025, for Respondents to submit their response based on the representation that the parties were actively engaged in discussions to settle their dispute. On March 21, 2025, Respondents submitted a Confidential Settlement Agreement and Release (“Confidential Release”) executed by the parties. On March 27, 2025, the parties were advised that they needed to request dismissal of the case; Claimant responded that “the parties [would] file a joint motion for dismissal by the end of next week.” When no motion to dismiss was received by the stated date a reminder was sent to the parties on May 1, 2025, that their motion for dismissal was still outstanding. The parties then submitted a Joint Motion for Dismissal and

Approval of the Confidential Release and Settlement Agreement (“Joint Motion”) the same day, asking that the proceeding be dismissed with prejudice.

Respondents have not yet filed a response to the Claim and did not object to the adjudication of this proceeding under the informal procedures. Accordingly, on March 18, 2025, the Chief Administrative Law Judge assigned this proceeding to the undersigned for adjudication under the Commission’s informal procedures.

In their Joint Motion, the parties asked for confidentiality but did not explain why their settlement agreement was entitled to confidential treatment. Joint Motion at 3. The undersigned then instructed the parties, as follows:

The parties’ Joint Motion . . . requests “leave from the FMC to file the Confidential Release under seal for review and approval, and that the FMC treat the Confidential Release as confidential information that is kept from being made public. Beyond their statement that “the Confidential Release is the result of confidential commercial negotiations between the Parties” the parties provide no explanation why the settlement agreement resulting from their confidential commercial negotiations should be kept confidential. Pursuant to Commission caselaw parties seeking confidential treatment for their settlement agreement must “provide good cause demonstrating why any of the terms of the settlement are trade secret or other confidential research, development, or commercial information.” Therefore, in line with the Commission's above statement, the parties should demonstrate by May 12, 2025, why the terms of their settlement agreement should be treated as confidential.

Email from the undersigned to the parties dated April 5, 2025 (internal citations omitted).

On May 9, 2023, the parties submitted a Joint Motion for the Confidential Treatment of the Parties’ Settlement (“Second Joint Motion”), and another copy of the Confidential Release.

The parties ask that the Claim be dismissed with prejudice based on a settlement agreement between them resolving the issues in dispute. Pursuant to the Commission’s Rule 72(a)(3):

[A]n action may be dismissed at the complainant’s request only by order of the presiding officer, on terms the presiding officer considers proper. If the motion is based on a settlement by the parties, the settlement agreement must be submitted with the motion for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable. Unless the order states otherwise, a dismissal under this paragraph is without prejudice.

46 C.F.R. § 502.72(a)(3). Although Rule 72, governing dismissal of Commission proceedings, is not applicable to Subpart S proceedings, the undersigned used the rule as guidance for ruling on Claimant's request to dismiss the Claim.

The Commission's consistent policy is to "encourage settlements and engage in every presumption which favors a finding that they are fair, correct, and valid." *Access One Transport, Inc., v. CMA CGM S.A.*, Docket No. 24-18, 2024 WL 5119296 at *1 (ALJ Dec. 10, 2024) (quoting *Inlet Fish Producers, Inv. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ May 9, 2002) and *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 21 F.M.C. 506, 512, 18 S.R.R. 1085, 1091 (ALJ Nov. 29, 1978)). Although it generally follows this policy, "the Commission does not merely rubber stamp any proffered settlement, no matter how anxious the parties may be to terminate their litigation." *Access One*, 2024 WL 5119296 at *2 (quoting *Old Ben Coal*, 18 S.R.R. at 1093). A settlement agreement that does not violate any law or policy and is free of fraud, duress, undue influence, mistake, or other defect which might make it unapprovable would likely be approved. *Id.* "[I]f it is the considered judgment of the parties that whatever benefits might result from the vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement." *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134, 1988 WL 340657 at *7 (ALJ Aug. 12, 1988).

The parties assert that the Confidential Release should be approved because it satisfies the Commission's criteria for approval. Joint Motion at 1. They state:

Here, the parties are sophisticated and reached a settlement that is memorialized in the Confidential Release through an arms-length negotiation, which supports this Motion and the relief sought. The Confidential Release does not contravene any law or public policy and is neither unjust nor discriminatory toward either party. Further, it does not impute or cause any adverse effects on third parties or the shipping public. The Confidential Release is a fair and reasonable resolution of this matter, the Parties' dispute, and it reflects the Parties' desire to resolve their issues without the need for costly or uncertain litigation.

Joint Motion at 3.

A review of the settlement agreement, which is signed by both parties, does not show any indicia of fraud, duress, undue influence, or mistake, and appears to reflect an arm's-length resolution between the parties. The parties are both represented by their own counsel. The terms appear to be fair, reasonable, and adequate. Accordingly, the settlement agreement is approved, and this proceeding dismissed with prejudice, as requested.

The parties request confidentiality for their settlement agreement, asserting:

Under the terms of the Settlement Agreement, the Parties have agreed to keep the terms of the confidential [sic], the requirement of which is a material term of the agreement. The Settlement

Agreement is the result of confidential commercial negotiations between the Parties, and the Parties respectfully request the Settlement Agreement remain under seal and continue to be afforded such confidential treatment by the FMC without making the terms public . . . The Parties wish to maintain confidentiality of the Settlement Agreement, as it contains terms setting out the Parties' commercial arrangement upon which the dispute arose, the settlement amount, and the terms governing the release of all claims related to the controversy involved. As such, there is no public interest in the disclosure or release of these terms that outweighs the Parties' interest to maintain the confidentiality of these terms.

Second Joint Motion at 2-3.

The Commission has recognized that “settlement agreements often contain sensitive commercial information that should be protected from public disclosure.” *D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 2018 WL 2411779, at *2 (FMC May 22, 2018). However, the Commission has also stated that a party should “provide good cause demonstrating why any of the terms of the settlement are trade secret or other confidential research, development, or commercial information[.]” *Genesis Resource Enterprise Inc. v. Maersk Line, Ltd.*, Docket No. 2014(I), 2024 WL 5054939, at *1 (FMC Dec. 4, 2024).

Here, the parties assert that the Confidential Release is the result of confidential commercial negotiations between the parties and, among other things, contains terms setting out the Parties' commercial arrangement pertinent to their dispute. Since the parties indicate that their agreement contains confidential commercial information, their request to keep the terms of the settlement agreement confidential is reasonable and thus granted.

Upon consideration of the proposed settlement, the parties' joint motion to dismiss, and for the reasons stated above, it is hereby

ORDERED that the settlement agreement be **APPROVED**. It is

FURTHER ORDERED that the request for confidentiality be **GRANTED**. It is

FURTHER ORDERED that this proceeding be **DISMISSED WITH PREJUDICE**.

THERESA DIKE Digitally signed by THERESA DIKE
Date: 2025.05.13 10:57:49 -04'00'

Theresa Dike
Small Claims Officer